

Al Hudaibah – Ras Al Khaimah 📍 25° 48' 28.2114" N 55° 58' 58.6412" E

1. Property Overview

The subject property is a **5,714 sq.ft** commercial/residential plot located in the established and highly accessible Al Hudaibah district of Ras Al Khaimah. The plot sits in a mature, central neighborhood, offering excellent connectivity to key city infrastructure.

The plot benefits from:

- **Dual-Use Zoning:** Commercial / Residential designation, allowing developers to create diversified revenue streams.
- **Proximity to Main Arteries:** Positioned just off the primary road network, providing quiet but immediate access to high-traffic corridors.
- **Optimized Sizing:** An excellent scale for a high-yield boutique mixed-use development.

Permitted development allows for **Ground + 1 Floor (G+1)**, with a maximum Built-Up Area (BUA) footprint of **50% per floor**. This translates to a total Gross Floor Area (GFA) of **5,714 sq.ft** across both levels. This envelope is perfectly suited for neighborhood-centric ground-floor commercial spaces paired with upper-level residential apartments.

2. Market Context

Commercial and mixed-use land within the central districts of Ras Al Khaimah commands a strong premium due to scarcity and high rental demand. To provide accurate market context, here is how active, comparable mixed-use plots in the immediate micro-market are currently performing:

- **Al Hudaibah / New Al Muairidh:** A 15,000 sq.ft mixed-use plot currently asking **AED 200 per sq.ft** (AED 3,000,000), reflecting peak main-road positioning.
www.fazwaz.ae
- **Al Mamourah (Adjacent):** A 3,600 sq.ft commercial plot currently asking **AED 180 per sq.ft** (AED 650,000).
- **Al Juwais:** A 3,900 sq.ft mixed-use plot currently asking **AED 143 per sq.ft** (AED 560,000).
Property Finder

The subject plot currently features natural-surface, secondary access. Rather than a deterrent, this transitional infrastructure phase represents a classic value-add opportunity, allowing an investor to acquire the asset below the peak AED 180–AED 200 per sq.ft rates, capturing the built-in appreciation once the municipality finalizes the street paving.

3. Residual Land Value (RLV) Calculation

The Residual Land Value calculates the maximum price a developer can afford to pay for the land while achieving a standard industry profit margin. Based on the provided construction parameters, here is the clear mathematical breakdown:

Step 1: Gross Development Value (GDV)

- **Total Construction Area (GFA):** 5,714 sq.ft
- **Net Sellable Area (NSA):** ~4,857 sq.ft (*Assuming a standard 85% layout efficiency*)
- **Target Selling Price: AED 650 per sq.ft** (*A conservative, highly achievable benchmark for newly built residential/commercial units in central RAK*)
- **Total GDV:** 4,857 sq.ft × AED 650 = **AED 3,157,050**

Step 2: Total Development Costs (TDC) Excluding Land

- **Hard Construction Costs:** 5,714 sq.ft × **AED 240 per sq.ft** = AED 1,371,360
- **Soft Costs & Fees:** (*Approx. 15% for design, permits, and connections*) = AED 205,704
- **Total Construction Cost: AED 1,577,064**

Step 3: Developer Target Profit

- **Target Margin:** 20% of GDV
- **Required Profit:** 20% × AED 3,157,050 = **AED 631,410**

Step 4: Residual Land Value (RLV) Output

- **Formula:** GDV – Total Construction Cost – Developer Profit
- **Calculation:** AED 3,157,050 – AED 1,577,064 – AED 631,410
- **Final RLV: AED 948,576** (*Equating to approximately AED 166 per sq.ft*)

4. Valuation & Market Assessment

Based on the objective RLV calculation and cross-referenced with local comparable sales data, the property's value is confidently assessed across three tiers:

Estimated Fair Market Value: AED 948,000

Valuation Ranges:

- **Low Range (Quick Liquidation):** AED 825,000 (*~AED 144 / sq.ft*)
- **Mid Range (Fair Market Value):** AED 948,000 (*~AED 166 / sq.ft*)
- **Aggressive (Maximum Cap):** AED 1,050,000 (*~AED 183 / sq.ft*)

5. Development Consideration

The financial model strongly supports immediate, purpose-built development. With a total capital outlay of approximately AED 2.52 Million (including land acquisition at Fair Market Value and all TDC), the project comfortably yields a GDV north of AED 3.15 Million.

To maximize this return while the neighborhood's secondary roads are being upgraded, ground-floor commercial spaces should target destination-driven tenants. Businesses such as localized medical clinics, corporate administrative offices, or boutique wellness centers are highly insulated from the need for heavy impulse foot-traffic, securing long-term rental stability.

6. Evaluation Summary

The subject property represents a highly attractive, optimized commercial opportunity in Al Hudaibah. The Fair Market Value of AED 948,000 provides a well-calculated, fair entry point that ensures a clean 20% development margin. By entering at AED 166 per sq.ft, the buyer secures a highly capable mixed-use plot well below the area's peak rates (AED 180–AED 200), positioning themselves perfectly for impending infrastructure upgrades.

7. Recommendation

The plot should be marketed to mid-tier private developers and local investors focused on build-to-rent and neighborhood retail assets.

- **Anchor Price:** Negotiations should be confidently anchored around the **AED 950,000** mark, directly backed by the RLV model.
- **Quick Sale:** If swift liquidity is the priority, any serious offer approaching **AED 825,000** will trigger an immediate transaction, as it provides a lucrative discount to value-seeking land bankers.
- **Maximum Yield:** Securing offers above **AED 1,000,000** is achievable but will require a slightly longer holding period to find a buyer specifically aiming to capitalize on the municipality's upcoming road formalization plans.

8. Risk Consideration

No major structural or zoning risks have been identified. The plot's current natural-surface approach road simply dictates an early-stage development strategy. Rather than relying on transient drive-by retail on day one, the design should prioritize steady, destination-based commercial tenants and robust residential configurations until the local grid is formally paved, at which point the asset's retail profile will naturally elevate.